

License Transfers or Changes in Michigan

License Transfers

When salespersons switch from one broker to a new broker or a broker company, they must follow a process for transferring their license from their previous employing broker to their new employing broker.

1. The salesperson initiates the process by:
 - Logging on to the Commercial Occupation Licensing Application (iCOLA) website
 - Paying a \$10 transfer fee
 - Notifying their new employing broker the transfer request has been made
2. The new employing broker logs in to iCOLA and approves the transfer.
3. The former employing broker returns the salesperson's license to the department of licensing and regulatory affairs (LARA).

The licensee's pocket card provides sufficient evidence of licensure for 45 days while the department processes the application and issues the license to the new broker. A new license and pocket card will be sent to the new broker within seven days of transfer approval.

Requests submitted by salespersons are pending until the new employing broker accepts the transfer in iCOLA. If the department notifies the licensee that the transfer application is incomplete, then the pocket card isn't valid and the licensee must wait until the new broker receives the license and pocket card before performing real estate activities.

Some other items to note about the salesperson transfer process:

- Salespersons can only transfer to an individual broker or a broker company.
- Licenses can't be converted from salesperson to broker, or from broker to salesperson in the transfer process.
- A salesperson may only be licensed to one employing broker at a time.
- A broker license and a salesperson license can't be held simultaneously.
- If a broker wants to have a salesperson license, the broker must surrender their broker license. If a salesperson wants to become a licensed broker, he or she must meet all of the requirements for the broker license and surrender their salesperson license.
- Broker licenses aren't transferable.

License Suspensions or Revocations

If a salesperson or associate broker license is suspended or revoked, the broker must return the license and the individual licensee must return the pocket card to the department.

If a broker's license (or the license of a sole associate broker for a broker entity) is suspended or revoked, the broker must return his or her own license along with the licenses and pocket cards of all associated licenses. If a broker's license is revoked, the licenses of all that broker's associated licensees are automatically suspended until the licensee transfers to a new, licensed broker using the license transfer process. The department will issue new licenses for these individuals without fee if done within the current license cycle.

Lapsed Broker License or Broker Incapacitation

If a broker's license lapses, the licenses of all affiliated salespersons and associate brokers are automatically in abeyance. This will remain true until the broker reactivates their license or the affiliated licensee becomes associated with a different broker.

If a broker dies or becomes incapacitated, the department allows associated licensees reasonable time to wrap up the broker's business or to identify a new broker.

Salesperson Discharge or Termination

If a licensee discharges or terminates employment with a broker via written notice, the broker has five days to mail the salesperson's license back to the department. If the licensee didn't notify the broker, then the department will notify the broker in writing if it has received a transfer application from the licensee. When the broker returns the license, he or she must notify the licensee in writing at their last known personal address that the license is being returned to the department. A copy of this notice must be provided along with the license when the broker returns it to the department.